

IHS End-Sem Econ Question

1. Using the circular flow of income diagram, identify the supply and demand sides of an economy and explain how they are linked with each other.

Refer to the diagram and explanation here:

<https://books.core-econ.org/the-economy/macroeconomics/01-supply-side-macroeconomy-02-the-whole-economy.html>

An ideal answer should explain and distinguish between:

- o The real flow: factors and goods/services
- o Monetary flow: incomes and expenditures
- o Clearly identify the components of the supply side and demand side

A correct and labelled diagram should accompany the explanation.

Marking Rubric

- Accurate explanation with clear distinction between real and monetary flows, clear identification of the supply and demand side, along with correct, labelled diagram: **16-18**
- Mostly correct explanation and diagram, minor omissions: **13-16**
- Basic understanding but incomplete explanation or flawed diagram: **9-13**
- Incorrect/incomplete diagram and/or explanation: **4-9**
- Very weak response: **0-4**